

SUBURBAN HEALTH CONSORTIUM

SECOND AMENDED AND RESTATED CONSORTIUM AGREEMENT

WHEREAS, the school districts set forth on the signature pages hereof ~~desire~~have entered into an Amended and Restated Consortium Agreement that is effective as of October 1, 2001 (the "Consortium Agreement"), in order to join together to maximize benefits and/or reduce costs of ~~health~~medical, prescription drug, vision, dental, life and/or other group insurance coverages for their employees and the eligible dependents and designated beneficiaries of such employees, and propose to have certain other eligible ~~school districts~~political subdivisions join them for the same purposes; and

WHEREAS, the school districts set forth on the signature pages hereof are still parties to the Consortium Agreement and ~~desire to join together, upon the approval of the boards of education of at least two-thirds of these school districts, to amend and restate the Consortium Agreement in order to continue their joint self-insurance program~~ for the aforesaid purposes upon the terms and conditions set forth hereinafter;

NOW, THEREFORE, in consideration of the foregoing and the agreements set forth hereinafter, the Consortium Members (hereinafter defined) agree as follows:

Section 1. Definitions-. As used in this Agreement, the following words shall have the following meanings:

a. "Agreement" shall mean this Second Amended and Restated Consortium Agreement, as the same may be amended, modified or supplemented, in accordance with Section ~~13~~15 hereof.

b. "Board of Directors" or "Board" shall mean the governing body established pursuant to Section 89 hereof having those powers and duties enumerated in this Agreement.

c. "Consortium" shall mean Suburban Health Consortium.

d. "Consortium Costs" shall mean the cost of all ~~health~~medical, prescription drug, vision, dental, life and/or other insurance benefits provided by or through the Consortium and all administrative and other costs of the Consortium approved by the Board of Directors.

e. "Consortium Fund" shall mean the Suburban Health Consortium Fund, maintained by the Fiscal Agent as a separate custodial fund ~~pursuant to the Uniform School Accounting System and in accordance with~~ Section 5 hereof and the laws, regulations and requirements applicable to school districts and other political subdivisions in the State, into which ~~the Fiscal Agent~~ shall place any and all ~~monies~~moneys received from the Consortium Members, or any other source, for payment of the Consortium Costs.

f. "Consortium Member" shall mean any school district or other political subdivision whose ~~superintendent~~governing body has, pursuant to a resolution adopted by ~~its board of education~~it, caused this Agreement to be executed in its name ~~or, with respect to, provided such school district or other political subdivision has not withdrawn or been terminated from participation in the Consortium pursuant to the provisions of Section 12 hereof.~~ "Consortium Member" also means any additional school district or other political subdivision included in the

Consortium pursuant to Section ~~11~~13 hereof, whose ~~board of education governing body~~ has caused this Agreement to be executed in its name in accordance with Section ~~11, and 13~~, provided such additional school district or other political subdivision has not withdrawn or been terminated from participation in the Consortium pursuant to the provisions of Section ~~10~~12 hereof.

g. “Employee” shall mean an employee of each Employer designated as eligible to participate by such Employer in the benefit program(s) in which such Employer is enrolled and on whose behalf all required premiums and other payments are made.

h. “Employer” shall mean any school district or other political subdivision that is a Consortium Member.

i. “Fiscal Agent” shall mean the board of education or other governing body of any Consortium Member appointed by the Board of ~~Education of the Lakewood City School District~~Directors, or the successor thereto appointed pursuant to the provisions of Section ~~12~~14 hereof.

j.— “Plan Administrator” shall mean an organization retained by the Consortium to provide such claims processing and/or administrative services in connection with the benefit programs being offered by or through the Consortium as agreed to by the Board of Directors.

k.— “Policy” shall mean a group insurance contract or reinsurance agreement purchased to provide part or all of any benefit, together with any rider, endorsement or amendment made a part of such contract or reinsurance agreement.

l.— “State” shall mean the State of Ohio.

~~m.— “Uniform School Accounting System” shall mean the budgetary, financial and accounting/reporting standards promulgated by the Auditor of State of the State of Ohio for use by boards of education in the State, as the same may be amended, modified or supplemented.~~

Section 2. Name. The name of the group composed of all the Consortium Members shall be the Suburban Health Consortium.

Section 3. Purpose. The purpose of the Consortium is to establish and maintain a fund to which the Consortium Members will contribute, to be used to provide and/or purchase ~~health~~medical, prescription drug, vision, dental, life and/or other insurance benefits for Employees and their eligible dependents and designated beneficiaries.

Section 4. Benefits.

a. — **Selection by Directors the Board.** The ~~Directors~~Board shall determine, in ~~their~~its discretion, the insurance benefits to be provided by or through the Consortium, which benefits may vary among the Consortium Members for any type of benefit program. Any of such benefits may be provided, in whole or in part, through one or more Policies. The ~~Directors~~Board shall determine, in ~~their~~its discretion, which insurance carriers and Policies to utilize to provide benefits pursuant to this Agreement. The ~~Directors~~Board shall agree with each insurance carrier

on all ~~of the~~ provisions to be contained in each Policy and the requirements for coverage thereunder. The ~~Directors~~Board may take any action with respect to each benefit program or Policy or the insurance coverage provided thereunder permitted by the insurance carrier, if applicable, or applicable law. The ~~Directors~~Chairperson shall ~~authorize the Fiscal Agent~~be authorized to enter into, on behalf of the Consortium, such agreements with insurance carrier(s) and others as the ~~Directors deem~~Board deems necessary or advisable with respect to benefits provided or to be provided pursuant to this Agreement and as the Board approves.

b. — Enrollment by Employer. Each Employer shall decide which benefit program(s) offered by or through the Consortium shall be extended to its Employees. Notwithstanding the foregoing, and except as otherwise may be agreed by at least two-thirds of the Directors, upon joining the Consortium each Employer shall be required to enroll in ~~a health~~medical and prescription drug benefit ~~program~~programs offered by or through the Consortium, subject to the approval of the Board of Directors in accordance with this Section. Unless otherwise agreed by at least two-thirds of the Directors, each Employer will be permitted to enroll, in accordance with this Section, in any ~~health~~medical, prescription drug, vision, dental, life or other benefit program that provides the same benefits as those being provided by such Employer to its Employees immediately prior to becoming a Consortium Member. An Employer shall be enrolled in a benefit program upon completion of the following:

~~1.1. —~~ Written application by the Employer;

~~2.2. —~~ Acceptance by at least two-thirds of the Directors; and

~~3.3. —~~ Payment of all required premiums and other amounts; ~~approved by the Board of Directors.~~ Enrollment shall be effective on the date or dates specified by the ~~Directors~~Board and shall continue subject to Sections ~~10, 12, 14~~ and ~~15~~17 of this Agreement. Each Employer shall appropriate all required payments and remit them to the Fiscal Agent on a monthly basis, or as otherwise required in accordance with any benefit program in which such Employer is enrolled.

If any Employer ceases to participate in a benefit program in which it has enrolled, such Employer shall not be entitled to be reinstated in such program for a period of two years.

c. — Contributions by Employees. To the extent and in the manner permitted by any applicable agreements, policies, rules, regulations and laws, each Employer may require contributions from its Employees toward the cost of any benefit program being offered by such Employer, and such contributions shall be included in the payments from such Employer to the Fiscal Agent for such benefit program.

d. — Employer Duties. Each Employer enrolled in a benefit program shall be responsible for the following:

~~1.1. —~~ To furnish to the Plan Administrator a list of all Employees and their dependents who are eligible for benefits and such other information as may be required by the Plan Administrator. Such information shall be supplied as of the effective date of such Employer's enrollment. Thereafter, such Employer shall notify the Plan Administrator on a monthly basis, or

as otherwise required by the Plan Administrator, of all changes in eligibility, whether by reason of termination, change of classification or otherwise. The format of such information shall be agreed to by the ~~Directors~~Board and the Plan Administrator. The Plan Administrator shall be entitled to rely on the most recent information received from an Employer in determining eligibility.

2.- To collect all contributions, if any, made by such Employer's Employees and to remit all Employer contributions (including contributions collected from Employees) and payments required under the terms of this Agreement and any benefit program in which such Employer is enrolled to the Fiscal Agent on a monthly basis, or as otherwise required in accordance with any benefit program in which such Employer is enrolled. All ~~general~~ administrative costs incurred by the Consortium that are not covered by premium and other payments shall be shared ~~equally~~ among the Consortium Members as approved by the ~~Directors~~Board, and shall be paid by each Consortium Member upon receipt of notice from the Fiscal Agent that such payment is due.

3.- To enroll all Employees in any benefit program, cooperate with the Plan Administrator with regard to proper settlement of claims and transmit any inquiries pertaining to any benefit program to the Plan Administrator.

4. -To provide, directly or through the Consortium, to such Employer's Employees all materials and documents, including without limitation enrollment cards, summaries for Employees, reports, applications and notice forms, as may be necessary or appropriate pursuant to the benefit program(s) in which such Employer is enrolled, this Agreement, and other applicable agreements, rules, regulations and laws.

Section 5. Consortium Fund.

a. — **Nature.**— The Consortium Fund shall consist of all payments made to the Fiscal Agent in accordance with this Agreement, policy dividends or rate refunds (whether received by the Consortium or left with insurance carriers to accumulate with interest), investments made by the Fiscal Agent and income therefrom, and any other money or property which shall come into the hands of the Consortium in connection with the administration of benefit programs and the Consortium.

_____ The Fiscal Agent shall be the custodian of the Consortium Fund. The Fiscal Agent shall make such investments as it may determine in its discretion, provided that such investments shall be in conformity with investment policies and guidelines established by the ~~Directors~~Board and this Agreement. In exercising such investment discretion, the Fiscal Agent shall be cognizant of the purposes of the Consortium Fund and shall act with care, skill, prudence and diligence of a prudent person acting in a similar capacity with similar aims. Investments selected by the Fiscal Agent shall be limited to investments permitted under Chapter 135 of the Ohio Revised Code for the public monies of school districts and other political subdivisions.

b. — **Use.**— The Fiscal Agent may use the Consortium Fund for purposes such as but not limited to the following:

1. -To pay all expenses which the ~~Directors consider~~Board considers necessary ~~in establishing the Consortium and the Consortium Fund and~~ in administering the Consortium and

the benefit programs being offered by or through the Consortium, including but not limited to payments to agents, administrators, consultants, attorneys, investment advisors, accountants and insurance carriers.

2.~~2.~~ To pay premiums on the Policies issued to the Consortium.

3.~~3.~~ To make investments in accordance with this Agreement.

4. -To make refunds to Employers.

5. -To provide and/or purchase ~~health~~medical insurance, ~~life~~prescription drug insurance, vision insurance, dental insurance, life insurance and/or other insurance benefits to Employees and their eligible dependents and designated beneficiaries, and to set aside funds for such purposes.

Section 6. Administration of the Consortium. The Consortium shall employ the Plan Administrator(s) to provide such claims processing and/or administrative services in connection with the benefit programs being offered by or through the Consortium as agreed to by the Board of Directors. The ~~Directors~~Board may adopt such rules and regulations for the administration of the Consortium as ~~they deem it deems~~ necessary or appropriate, including without limitation any requirements for eligibility of other school districts or political subdivisions to participate in the Consortium, and may require the Consortium Members to furnish such information to the Consortium, the Fiscal Agent and/or the Plan Administrator(s) as ~~they deem it deems~~ necessary or appropriate.

Section 7. No Claims Against the Consortium. No Employer, Employee or person claiming benefits by or through an Employee shall have any claim against the Consortium or any property of the Consortium. The rights and interests of Employees and persons claiming by or through Employees shall be limited to the receipt of benefits offered by or through the Consortium in accordance with this Agreement. The Consortium shall purchase or otherwise provide for the benefit of itself, the Directors and/or the Fiscal Agent such liability insurance with such limits of coverage as approved by the Board of Directors. ~~The aggregate claims liability of the Consortium shall not exceed one hundred twenty percent (120%) of expected claims.~~

Section 8. Consortium Members.

a. **Meetings.** An annual meeting of the Consortium Members shall be held at such place and on such date and time as determined by the Board of Directors—, for the election of Directors, financial reporting, and such other business as may properly come before the meeting. Two additional regular meetings of the Consortium Members shall be held during each plan year at such place(s) and on such dates and times as determined by the Board of Directors, for financial reporting and such other business as may properly come before the meeting. Special meetings of the Consortium Members may be called at any time by a majority of the Board of Directors then in office acting at a meeting or without a meeting in writing. Special meetings may be held at such time and place as specified in the notice thereof. Meetings of the Consortium Members shall be open to the public and held in accordance with applicable law.

A written notice of every annual, regular, or special meeting of the Consortium Members, stating the time, place and purposes thereof, shall be given to each Consortium Member via email at least ten days before the date of the meeting. Any Consortium Member may waive in writing any notice required to be given under this Agreement either before or after any meeting, and by attendance at any meeting shall be deemed to have waived notice thereof.

b. Quorum and Adjournment. A majority of the voting power of the Consortium Members (as determined in accordance with Subsection 8.d. below) present shall constitute a quorum at any meeting of the Consortium Members. However, the Consortium Members present at any meeting, whether or not a quorum be present, may adjourn the meeting from time to time without notice other than by announcement at the meeting. Except as otherwise expressly provided in this Agreement, the affirmative vote of at least a majority of the voting power of the Consortium Members shall be required for every action of the Consortium Members.

c. Action in Writing Without a Meeting. Except as otherwise expressly provided in this Agreement, and subject to applicable law, by instrument in writing signed by all Consortium Members, any action permitted or required to be taken by the Consortium Members may be taken without a meeting.

d. Right to Vote. Each Consortium Member shall be entitled to vote on each matter submitted to a vote at a meeting of the Consortium Members as follows:

- Consortium Member with 50 or less Employees = 0 vote
- Consortium Member with more than 50 Employees but less than 750 Employees = 1 vote
- Consortium Member with 750 or more Employees = 2 votes

The Superintendent or other chief executive officer of each Consortium Member shall have the authority to vote on behalf of such Consortium Member. In the Superintendent's or other chief executive officer's absence, the Treasurer or other chief financial officer, Assistant Superintendent or deputy chief executive officer, or HR Director of each Consortium Member shall have the authority to vote on behalf of such Consortium Member, in the foregoing order of priority if more than one such administrator or officer is present.

Section 9. Board of Directors. The Board of Directors shall be the governing body of the Consortium.

~~Membership. The board of education of each~~ Directors shall be elected at the annual meeting of the Consortium Member (including the Fiscal Agent) ~~shall appoint its Superintendent or Members, or special meeting held in lieu thereof.~~ At each meeting of the Consortium Members for the election of Directors, the persons receiving the greatest number of votes shall be the Directors.

a. Number and Tenure. The number of Directors shall be nine, all of whom must be administrators employed by Consortium Members. The number of Directors may be

changed by vote of the Consortium Members entitled to exercise a majority of the voting power of the Consortium at the annual meeting or a special meeting called for the purpose of electing Directors, but no reduction of the number of Directors shall have the effect of removing any Director prior to the expiration of his or her term.

There shall be three separate classes of Directors, with each class consisting of three Directors. The three classes shall have the following staggered terms of office: one class of Directors shall serve a one year term, another class shall serve a two year term, and the last class shall serve a three year term. A Director elected to serve a one year term shall hold office until the next annual meeting of the Consortium Members and until his or her successor is elected; a Director elected to serve a two year term shall hold office until the next annual meeting of the Consortium Members following the foregoing meeting and until his or her successor is elected; and a Director elected to serve a three year term shall hold office until the next annual meeting of the Consortium Members following the immediately foregoing meeting and until his or her successor is elected; subject, however, to the earlier resignation or death of any of such Superintendent's designee to be its representative on the Directors.

b. Vacancies. Whenever the office of Director shall become vacant for any reason, a majority of the remaining Directors then in office shall constitute a quorum and may elect a successor who shall hold office for the unexpired term.

c. Meetings. The Board of Directors shall, by rule, establish a reasonable method whereby any person may determine the time, place and purpose(s) of its meetings. All membersmeetings of the Board of Directors shall serve be open to the public pursuant to applicable law, subject to the exception for executive sessions. The Board of Directors may, but need not, adopt other rules, including without compensationlimitation a policy for attendance at meetings by video conference or any other similar electronic technology.

~~**a. Officers.** The officers of the Board of Directors shall consist of a Chairman, Vice Chairman and Recording Secretary, who shall be elected at the annual meeting of the Board of Directors. At each annual meeting, the Board of Directors shall, by majority vote of all members, elect from its membership a Chairman, Vice Chairman, and Recording Secretary, each to serve until the next annual meeting at which officers of the Board of Directors are to be elected pursuant hereto. The Treasurer of the Fiscal Agent, who shall be a non-voting ex-officio member of the Board of Directors unless such Treasurer is otherwise a Director, shall serve as the Treasurer of the Board of Directors and the Consortium. The Chairman (and in the Chairman's absence the Vice Chairman) shall preside at meetings of the Board of Directors. The Recording Secretary shall keep a record of the proceedings of the Board of Directors, including a journal of all minutes of all meetings of the Board of Directors. The Recording Secretary shall also be the officer responsible for keeping and certifying all official documents, resolutions and actions of the Board of Directors and shall, within thirty days after any meeting, distribute a copy of the minutes of that meeting to each member of the Board of Directors. If for any reason the offices of the Chairman and Vice Chairman are vacant, the Superintendent of the Fiscal Agent or his designee shall preside as temporary Chairman until a Chairman is elected. If for any reason the office of Recording Secretary is vacant, the Chairman shall designate a member of the Board of Directors to serve as temporary Recording Secretary until a Recording Secretary is elected.~~

~~c. **Treasurer.** The Treasurer of the Fiscal Agent shall be the Treasurer of the Consortium. The Treasurer shall receive and disburse all funds, prepare all necessary fiscal reports for the Board of Directors and the Consortium, and undertake all other financial transactions necessary to the work of the Consortium in accordance with this Agreement and as otherwise authorized by the Board of Directors.~~

~~Immediately after each annual meeting of the Consortium Members, or special meeting held in lieu thereof, the newly elected Board of Directors shall hold an organization meeting at the same place for the purpose of electing officers and transacting any other business. Regular meetings of the Board of Directors shall be held at such times and places as determined by the Board of Directors.~~

~~Special meetings of the Board of Directors may be called at any time by the Chairperson of the Board of Directors, or by a majority of the Board of Directors then in office acting at a meeting or without a meeting in writing. Special meetings may be held at such time and place as specified in the notice thereof. Notice of the time, place and purpose(s) of each special meeting shall be served upon or telephoned to each Director at least twenty-four hours, or shall be sent via email to each Director at least forty-eight hours, prior to the time of such meeting. Notice shall be deemed to have been waived by the Directors attending such meeting, and may be waived in writing by any Director either before or after such meeting.~~

d. **Resolutions.** -A majority of all members of the Board of Directors shall constitute a quorum to transact business~~-, but if at any meeting of the Board there shall be less than a quorum present, a majority of those Directors present may adjourn the meeting.~~ Each member of the Board of Directors (including the ~~Chairman~~Chairperson, Vice-~~Chairman~~Chairperson and Recording Secretary) shall have one vote.- All official actions of the Board of Directors shall be taken by resolution entered on its records. -Except as otherwise expressly provided in this Agreement, the affirmative vote of at least a majority of all ~~of the~~ members of the Board of Directors shall be required for the enactment of every resolution. -All resolutions shall be effective immediately upon enactment, subject to any authorizations or certifications required by ~~the Ohio Revised Code~~applicable laws or regulations to be made by the Fiscal Agent.

~~e. **e. Action in Writing Without a Meeting.** Except as otherwise expressly provided in this Agreement, and subject to applicable law, by instrument in writing signed by all Directors then in office, the Board of Directors may take action on any subject without a meeting.~~

~~**Meetings.** The Board of Directors shall meet at least once each year on such date(s) as fixed by the Board and at such other times as may be requested by the Chairman or as may be requested, in writing to the Recording Secretary, by any three or more members of the Board of Directors or by the Fiscal Agent. Written notice of each meeting shall be served by the Recording Secretary upon each member of the Board of Directors not less than 24 hours preceding the time for meeting, and shall state the date, time and place of the meeting and subject or subjects to be considered at the meeting. The requirements of and procedures for notice may be waived in writing by each member and any member shall be deemed conclusively to have waived such notice with respect to a meeting by his attendance at that meeting. Pursuant to Ohio Revised Code Section 121.22(F), the Board of Directors shall, by rule, establish a reasonable method whereby any person may determine the time, place and purpose of its meetings. All meetings of the Board of Directors shall be open to the public, subject to the exception of Ohio~~

~~Revised Code Section 121.22(G) for executive sessions. The Board of Directors may, but need not, adopt other rules.~~

f.- Powers and Duties of Board of Directors.

(i) All of the authority of the Consortium shall be exercised by or under the direction of the Board of Directors.

(ii) The Board of Directors shall select and approve all benefit programs to be offered by or through the Consortium and all Policies and other contracts to be accepted or entered into by the Consortium. The Board of Directors shall set or determine all premiums and other amounts to be paid by the Consortium Members, and the Board of Directors also shall have the authority to waive premiums and other payments.

(iii) The Board of Directors may appoint one or more advisory committees to assist the Board of Directors in considering any matter relating to the Consortium and its benefit programs hereunder. The members of an ~~Advisory Committee~~advisory committee shall be appointed by and shall serve at the pleasure of the Board of Directors, who shall also establish the terms of such members, the initial meeting thereof, the frequency of such meetings and such other administrative matters as the Board of Directors deems necessary. Each ~~Advisory Committee~~advisory committee shall perform the duties directed by the Board of Directors and each ~~Advisory Committee~~advisory committee shall make recommendations to the Board of Directors concerning any matter referred to it by the Board of Directors.

(iv) At any meeting, the Board of Directors may consider recommendations or proposals concerning any matter relating to the Consortium and its benefit programs hereunder.

(v) The Directors shall not be liable for any action taken or omitted in good faith or for any action taken or omitted by any individual, firm, corporation or other organization selected with reasonable care.

g. — Executive Committee.

a.—(i) There shall be an Executive Committee of the Board of Directors. The Executive Committee shall consist of three members of the Board of Directors: the ~~Chairman~~Chairperson and two other ~~members~~Directors. Two members of the Board of Directors (other than the ~~Chairman~~Chairperson) shall be eligible to serve on the Executive Committee, on a rotating basis, in accordance with the alphabetical order of the names of the Consortium Members that they represent (excluding the Consortium Member represented by the person serving as the ~~Chairman~~Chairperson), beginning with the name that is first in order. Each member of the Executive Committee (other than the ~~Chairman~~Chairperson) shall serve a term of two years, except that the initial term of the ~~member~~Director representing the Consortium Member whose name is first in order shall be one year so that terms will be staggered between the rotating ~~members~~Directors.

b.——(ii) Meetings of the Executive Committee shall be called by the ~~Chairman~~Chairperson, who must give notice of each meeting to all other members of the Executive

Committee. Meetings of the Executive Committee may be held in person or by ~~telephone-video conference or any other similar electronic technology if approved by the Board in accordance with applicable law.~~ A majority of the Executive Committee members shall constitute a quorum for the authorization or taking of any action, and the affirmative vote of a majority of the Executive Committee members present at a meeting at which a quorum is present shall be necessary for the authorization or taking of any action by the Executive Committee. Any action that may be authorized or taken at a meeting of the Executive Committee may be authorized or taken without a meeting with the affirmative approval in writing of all members of the Executive Committee, ~~subject to applicable law.~~

e. ~~—~~ **(iii)** The Executive Committee shall have the full powers of the Board of Directors to manage and conduct the affairs of the Consortium between meetings of the Board of Directors. Notwithstanding the foregoing, the Executive Committee's powers shall be limited to such actions as the Executive Committee deems necessary in order for the actions to be timely, and the Executive Committee is expressly prohibited from authorizing or taking any of the following actions:

- Amendment of this Agreement
- Termination of the Consortium
- Admission of ~~Newnew Consortium~~ Members to the Consortium
- Selection or ~~Approvalapproval~~ of ~~Benefit Programsbenefit programs~~ to be offered by ~~or through~~ the Consortium
- Approval of any ~~Insurance Contract or Other Contractinsurance contract or other contract~~ to be entered into by the Consortium
- Setting or ~~Waiving—Premiumswaiving premiums~~ or ~~Other Amountsother amounts~~ to be paid by Consortium Members
- Removal or ~~Appointmentappointment~~ of the Fiscal Agent

(iv) The Executive Committee is specifically authorized and directed to review and decide all appeals and challenges by Employees, their eligible dependents and designated beneficiaries of adverse determinations by the Plan Administrator of care or coverage under benefit programs offered by ~~or through~~ the Consortium. The Executive Committee shall have the discretion to determine eligibility for care, coverage or benefits and to interpret the terms of benefit programs offered by ~~or through~~ the Consortium. Each Consortium Member must refer all such appeals and challenges presented to it to the Executive Committee for review and decision.

e. ~~—~~ **(v)** The Executive Committee shall report all of its actions to the Board of Directors at the Board's next meeting. The Board of Directors may ratify any action authorized or taken by the Executive Committee, or, by at least a two-~~thirdsthirds'~~ vote of the Directors present at a meeting at which a quorum is present, may rescind and overrule such action.

(vi) ~~The Board of Directors may by resolution provide for such other committees of Directors as the Board deems desirable, and discontinue the same at the Board's pleasure.~~

Section 10. Officers.

~~**Section 9. Fiscal Agent.** The Fiscal Agent shall be the board of education. The officers of the Board of Directors shall consist of a Chairperson, Vice-Chairperson and Recording Secretary, who~~

shall be elected at the annual organization meeting of the Board of Directors. At each annual meeting, the Board of Directors shall, by majority vote of all members, elect from its membership a Chairperson, Vice-Chairperson, and Recording Secretary, each to serve a term of two years. The Treasurer or other chief financial officer of the Fiscal Agent, who shall be a non-voting ex-officio member of the Board of Directors unless such Treasurer or other chief financial officer is otherwise an elected Director, shall serve as the Treasurer of the Board of Directors and the Consortium. The Treasurer shall receive and disburse all funds, prepare all necessary fiscal reports for the Board of Directors and the Consortium, and undertake all other financial transactions necessary to the work of the Consortium in accordance with this Agreement and as otherwise authorized by the Board of Directors. The Board may outsource any administrative responsibilities of the Treasurer as the Board may determine appropriate and in the best interests of the Consortium. The Chairperson (and in the Chairperson's absence the Vice-Chairperson) shall preside at meetings of the Board of Directors. The Chairperson shall also carry out day-to-day administrative duties necessary to the work of the Consortium and as otherwise authorized by the Board of Directors, subject at all times to the authority of the Board in accordance with this Agreement. The Recording Secretary shall keep a record of the proceedings of the Board of Directors, including a journal of all minutes of all meetings of the Board of Directors. The Recording Secretary shall also be the officer responsible for keeping and certifying all official documents, resolutions and actions of the Board of Directors and shall, after any meeting, distribute a copy of the minutes of that meeting to each member of the Board of Directors. If for any reason the offices of the Chairperson and Vice-Chairperson are vacant, the Superintendent or other chief executive officer of the Fiscal Agent or his or her designee shall preside as temporary Chairperson until a Chairperson is elected. If for any reason the office of Recording Secretary is vacant, the Chairperson shall designate a member of the Board of Directors to serve as temporary Recording Secretary until a Recording Secretary is elected.

Section 11. Fiscal Agent. The Fiscal Agent shall be the governing body of the Consortium Member responsible for administering the financial transactions of the Consortium. The Fiscal Agent shall also carry out the responsibilities set forth in Section 5 of this Agreement, enter into contracts on behalf of the Consortium as authorized by the ~~Directors~~Board and carry out such other responsibilities as approved by the ~~Directors~~Board and agreed to by the Fiscal Agent. The Board may outsource any administrative responsibilities of the Fiscal Agent as the Board may determine appropriate and in the best interests of the Consortium. The Fiscal Agent shall be reimbursed for such costs incurred by it in carrying out its responsibilities under this Agreement as may be approved by the Board of Directors. The Fiscal Agent may be compensated for its services under this Agreement as authorized by the Board of Directors.

The Treasurer or other chief financial officer of the Fiscal Agent shall maintain the Consortium Fund as a custodial fund and separate and apart from all other funds of the Fiscal Agent. The Consortium Fund shall be subject to the laws of the State concerning the investment and management of public funds, particularly Chapter 135 of the Ohio Revised Code, and shall be the responsibility of the Fiscal Agent. -Subject to the foregoing, the Fiscal Agent shall not be liable for any losses incurred by the Consortium Fund through the investment of funds. The Treasurer or other chief financial officer of the Fiscal Agent shall obtain and keep in force, at the Consortium's expense, a fiduciary bond in an amount determined by the Board of Directors with a surety company approved by the Board, or, in lieu of a separate fiduciary bond, ~~the Board may direct the Treasurer, with the Fiscal Agent's consent, to continue and keep in force any existing fiduciary~~

~~bond of the Treasurer. In either case, the Fiscal Agent and the Consortium shall be named as co-obligees in such fiduciary bond and the amount thereof shall not be reduced without prior written consent of the Board of Directors~~ a crime policy approved by the Board.

To the fullest extent permitted by law, except as otherwise expressly provided in this Agreement, the Consortium Members (jointly but not severally) and the Consortium shall hold the Fiscal Agent harmless from any liabilities, obligations, claims, damages, penalties, causes of action, costs or expenses, including reasonable fees and expenses of counsel, incurred by the Fiscal Agent or claimed against the Fiscal Agent relating to the activities of the Consortium. ~~All damages, penalties, costs, expenses and amounts, including attorneys' fees and costs and expenses, to be paid by the Consortium and/or the Consortium Members in settlement or satisfaction of any such liabilities, obligations, claims or causes of action shall be shared equally by all Consortium Members~~ as approved by the Board of Directors. The Consortium Members and the Consortium release the Fiscal Agent from any liability for, and agree that the Fiscal Agent shall not be liable for, the actions or inactions of the Board of Directors, the Consortium Members or the Consortium. The Fiscal Agent shall not be liable for any action taken or omitted in good faith or for any action taken or omitted by any individual, firm, corporation or other organization selected with reasonable care.

Section ~~1012~~. Withdrawal/Termination from Participation in the Consortium.

 a. Any Consortium Member wishing to withdraw from participation in the Consortium or any benefit program shall notify the Fiscal Agent (or the ~~Chairman~~ Chairperson of the Board of Directors if the Fiscal Agent is withdrawing) at least one hundred eighty (180) days prior to the effective date of the withdrawal. Any decision to withdraw from the Consortium must be made by duly adopted resolution of the board of education or other governing body of the Consortium Member. Any Consortium Member withdrawing pursuant to this Subsection ~~1012~~.a. shall remain liable for all amounts due prior to the effective date of withdrawal under this Agreement or pursuant to any action of the Board of Directors. The Consortium shall pay all run-out claims of any Consortium Member withdrawing pursuant to this Subsection ~~1012~~.a. provided (i) such Consortium Member has paid to the Consortium, by remitting to the Fiscal Agent prior to the effective date of withdrawal, a withdrawal fee in the amount of two (2) months' premiums at such Consortium Member's then current rates and (ii) such Consortium Member is current in the payment of all amounts due under this Agreement or pursuant to any action of the Board of Directors. Payment of the withdrawal fee does not extend insurance coverage for two (2) months. If any Consortium Member withdrawing pursuant to this Subsection ~~1012~~.a. fails to pay the withdrawal fee or any amount due under this Agreement or pursuant to any action of the Board of Directors, such Consortium Member shall be solely responsible for the payment of all of its run-out claims.

Any Consortium Member which withdraws from the Consortium pursuant to this Subsection ~~1012~~.a. shall have no claim to the Consortium's assets and shall not be entitled to the return or refund of any premiums or other amounts paid, directly or indirectly, by such Consortium Member to the Consortium. Upon withdrawal under this Subsection ~~1012~~.a., the withdrawing member may not become a Consortium Member again or be reinstated in a benefit program for a period of two (2) years and until it has fully complied with the procedures contained in Section ~~1113~~ or Subsection 4.b. hereof, as the case may be.

b. If any Consortium Member commits a material breach of this Agreement or a material violation of any action taken by the Board of Directors, as determined in each case by the Board of Directors in its sole discretion, the Board of Directors may terminate such Consortium Member's participation in the Consortium and all benefit programs. Any Consortium Member whose participation in the Consortium has been terminated pursuant to this Subsection ~~4012~~.b. shall remain liable for all due and unpaid amounts under this Agreement or pursuant to any action of the Board of Directors. Any Consortium Member whose participation in the Consortium has been terminated pursuant to this Subsection ~~4012~~.b. shall be solely responsible for the payment of all of its run-out claims (unless otherwise determined by the Board of Directors in its sole discretion). In no event shall the Consortium pay the run-out claims of any Consortium Member under this Subsection ~~4012~~.b. unless (i) such Consortium Member has paid to the Consortium, by remitting to the Fiscal Agent prior to the effective date of termination, a termination fee in the amount of two (2) months' premiums at such Consortium Member's then current rates and (ii) such Consortium Member is current in the payment of all amounts due under this Agreement or pursuant to any action of the Board of Directors. Payment of the termination fee, if applicable, does not extend insurance coverage for two (2) months. Any Consortium Member whose participation in the Consortium has been terminated pursuant to this Subsection ~~4012~~.b. shall have no claim to the Consortium's assets and shall not be entitled to the return or refund of any premiums or other amounts paid, directly or indirectly, by such Consortium Member to the Consortium. The Board of Directors is authorized to take any and all actions the Board deems necessary or appropriate in the event of a material breach or a material violation by a Consortium Member.

 For all purposes of this Subsection ~~4012~~.b., the failure by any Consortium Member to pay any amount when due under this Agreement or pursuant to any action of the Board of Directors shall be considered a material breach of this Agreement or a material violation of Board action, as the case may be. Upon any material breach or material violation due to non-payment by a Consortium Member, the Consortium shall cease paying as of the date of the material breach or material violation, as the case may be, and for as long as the material breach or material violation continues any and all claims incurred by any and all participants enrolled for coverage through such Consortium Member, and such Consortium Member shall be solely responsible for the payment of all such claims. If a material breach or a material violation by a Consortium Member for non-payment is due to any reason other than extreme financial hardship, as determined by the Board of Directors in its sole discretion, such Consortium Member shall pay to the Consortium, by remitting to the Fiscal Agent upon demand for payment from the Fiscal Agent, a late payment penalty in an amount equal to twenty-five percent (25%) of such Consortium Member's then current monthly premium for each month, or portion thereof, that any due and unpaid amount remains unpaid. The late payment penalty shall be paid in addition to all other amounts due under this Agreement or pursuant to any action of the Board of Directors. Each Consortium Member hereby acknowledges and agrees that the late payment penalty is necessary and appropriate to deter Consortium Members from committing a material breach or a material violation by deliberately withholding payment in an effort to circumvent the notification requirement under Subsection ~~4012~~.a.

c. Each Consortium Member hereby releases, waives, and discharges the Consortium and the other Consortium Members from, and covenants not to sue the Consortium and/or the other Consortium Members in connection with, any and all claims, actions, demands, rights, damages, liabilities, obligations, losses, expenses (including but not limited to attorney's fees), and causes of action of whatever kind, whether known or unknown, vested or contingent, suspected or unsuspected, which such Consortium Member may now have or which may hereafter accrue on account of, arising out of or relating in any way to non-payment of run-out claims and/or any other claims or amounts by the Consortium in the event such Consortium Member commits a material breach of this Agreement or a material violation of any action taken by the Board of Directors or fails to comply with Subsection 1012.a. or 1012.b., as applicable.

 d. The terms, clauses, conditions, and provisions of this Section 1012 shall survive the effective date of withdrawal or termination of any Consortium Member.

Section 1413. Inclusion of Additional Consortium Members. ~~The board of education governing body of any school district political subdivision organized under the laws of the State may apply to the Board of Directors for inclusion of such school district in the Consortium. Such application shall be submitted in writing, accompanied by a duly adopted resolution of such board of education governing body requesting inclusion of the applicant district in the Consortium and designating the date on which the board of education of the applicant district wishes its membership to be effective. At any annual meeting of the Board of Directors or at a meeting of the Board of Directors called pursuant to Subsection 8.e. hereof, the held in accordance with Section 9 of this Agreement, the Board shall act by duly adopted resolution. The applicant district shall be included in the Consortium and deemed a Consortium Member hereunder if such inclusion is approved by the affirmative vote of at least two-thirds of the all members of the Board of Directors, the applicant district executes this Agreement, the applicant district appropriates and remits to the Fiscal Agent any required initial premiums, charges and other amounts, and the applicant district satisfies any other requirements approved by the Board of Directors. In addition to any required initial premiums, the applicant district must contribute to the Consortium, by appropriating and remitting on a monthly basis for a period of twelve (12) months to the Fiscal Agent, such sum per eligible employee of such applicant district as fixed by the Board of Directors at any time or from time to time. The foregoing contributions shall become part of the Consortium Fund.~~

Section 1214. Resignation of Fiscal Agent; Successor Fiscal Agent. The Fiscal Agent may resign as the Fiscal Agent of the Consortium at any time by giving written notice of the date of such resignation to each Consortium Member and to the Chairman~~Chairperson~~ of the Board of Directors at least one hundred eighty (180) days prior to the effective date of such resignation. The Fiscal Agent may be removed as the Fiscal Agent of the Consortium at any time by the Board of Directors by a majority vote. Upon any resignation or removal of the Fiscal Agent, the Board of Directors, by a majority vote, shall appoint a successor Fiscal Agent from among the Consortium Members. The costs resulting from a change of Fiscal Agent, including but not limited to any bonding fees, shall be deemed costs of the Consortium. In the event that the Fiscal Agent serves notice of its resignation (in accordance with this Section 1214) or withdrawal (in accordance with Subsection 1012.a. hereof) or is removed (in accordance with this Section 1214) and no successor thereto is appointed by the Board of Directors prior to the effective date of such resignation or

withdrawal or at the time of removal, then this Agreement and the Consortium shall be automatically terminated as of the effective date of the Fiscal Agent's resignation, withdrawal or removal.

Section ~~1315~~. Amendments—. This Agreement may be modified, amended or supplemented in any respect upon approval of such modification, amendment or supplement by the ~~boards of education~~affirmative vote of at least two-thirds of the voting power of the Consortium Members at an annual, regular, or special meeting, and such ~~amendment~~, modification, amendment or supplement shall thereupon become binding upon all Consortium Members. Notwithstanding the foregoing, this Agreement may be amended by the Board of Directors, by the affirmative vote of at least two-thirds of ~~the~~all members thereof, without the approval of the Consortium Members if such amendment is solely for the purpose of clarification and does not change the substance hereof. This Agreement may be further amended by the Board of Directors, by the affirmative vote of at least two-thirds of ~~the~~all members thereof, without the approval of the Consortium Members if such amendment is, in the opinion of counsel for the Consortium, necessary or appropriate to satisfy requirements of ~~the Ohio Revised Code or any federal laws or regulations~~applicable laws or regulations. The First and Second Amendments to the Consortium Agreement approved prior to the effective date of this Agreement are hereby incorporated and made a part hereof.

Section ~~1416~~. Assignability—. No interest of a Consortium Member herein shall be assigned unless such assignment is authorized by law and consented to by ~~the boards of education~~of all Consortium Members.

Section ~~1517~~. Term of ~~the~~this Agreement—. It is the express intention of the Consortium Members that this Agreement and the Consortium shall continue for an indefinite term, but may be terminated as herein provided.

In the event the Fiscal Agent resigns, withdraws or is removed and no successor thereto has been appointed by the Board of Directors, this Agreement and the Consortium shall terminate in accordance with Section ~~1214~~ hereof. In the event ~~that~~the Consortium Members, by the affirmative vote of at least two-thirds of the ~~boards of education~~voting power of the Consortium Members, ~~by duly adopted resolutions,~~ determine that this Agreement and the Consortium shall be terminated, then this Agreement and the Consortium shall terminate upon the date ~~agreed upon by such boards of education, as provided in those resolutions. The board of education of each Consortium Member shall promptly forward a certified copy of such resolution to the Chairman of the Board of Directors approved by the Consortium Members.~~

Upon termination of this Agreement and the Consortium, the Fiscal Agent shall pay all obligations of the Consortium and charge them to the Consortium Fund. The Fiscal Agent shall next apply any remaining balance of the Consortium Fund to provide benefits, whether through insurance or otherwise, for Employees and their eligible dependents and designated beneficiaries, in such manner as the ~~Directors determine~~Board determines will best carry out the purposes for which the Consortium was formed, including but not limited to distribution to the Consortium Members.

~~No Consortium Member shall be required, by or under this Agreement, by amendment or otherwise, to pay any sum upon termination hereof, unless it shall have expressly agreed thereto.~~

Section 1618. Effectiveness and Counterparts of this Agreement~~-. This Agreement shall be effective as of October 1, 2001~~2025, upon ~~execution by the Superintendent of each Consortium Member, as authorized pursuant to approval of the resolution adopted by the boardboards~~ of education of ~~such Consortium Member~~at least two-thirds of the school districts set forth on the signature pages hereof. This Agreement may be signed in separate counterparts on behalf of any one, or more than one, of the Consortium Members, without necessity for any one counterpart to be signed on behalf of all Consortium Members, and said separately signed counterparts shall be filed with the Fiscal Agent and shall together constitute one Agreement.

Section 1719. Notices~~-. Any notice to a Consortium Member required to be in writing shall be deemed given if (i) left at the office of the Superintendent or other chief executive officer of such Consortium Member or, (ii) deposited in the United States mail, postage prepaid, by first class mail addressed to such Superintendent or other chief executive officer, or (iii) sent via email to such Superintendent or other chief executive officer.~~

Section 1820. Governing Law. This Agreement and the Consortium shall be governed by and construed in accordance with the laws of the State, and it is the intention of the Consortium Members that this Agreement and the Consortium shall comply with Section 9.833 of the Ohio Revised Code and such other laws as authorize a ~~cooperative~~Consortium arrangement of the type provided for under this Agreement.

IN WITNESS WHEREOF, the ~~undersigned Board of Education has caused~~parties have executed
this Agreement ~~to be signed on its behalf by its duly authorized Superintendent pursuant to a duly~~
~~adopted authorizing resolution, as set forth~~ on the date indicated below his or her attached signature.

pages.